

SENATE BILL 2701

By Stevens

AN ACT relative to authorizing the levy of a mineral severance tax
in Henry County.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. There is imposed in Henry County, Tennessee, a severance tax as provided herein on certain minerals severed from the ground within its jurisdiction. The tax shall be levied for the use and benefit of Henry County only.

SECTION 2. For purposes of this act:

(1) "Mineral" means clay, titanium, and any other substance commonly recognized as a mineral, except any material taxed under Tennessee Code Annotated, Title 67, Chapter 7, Parts 1 and 2; and

(2) "Sever" or "severance" means the extraction or removal of a mineral from its natural state within Henry County.

SECTION 3.

(a) The rate of the tax shall be equal to the maximum per-ton tax rate authorized by Tennessee Code Annotated, § 67-7-203, and shall automatically increase if Tennessee Code Annotated, § 67-7-203, is amended to increase the maximum rate.

(b) If Tennessee Code Annotated, § 67-7-203, is amended to reduce the maximum rate or is repealed, the tax rate under this act shall remain fixed at the highest maximum rate previously authorized by Tennessee Code Annotated, § 67-7-203.

(c) The tax shall accrue at the time the mineral is severed and transported from the mine in its natural or unprocessed state.

SECTION 4.

(a) Every owner or operator severing minerals under this act shall become liable for the tax at the time of severance.

(b) The Tennessee Department of Revenue shall administer and collect this tax in the same manner as provided in Tennessee Code Annotated, § 67-7-204, including promulgation of rules and regulations necessary for administration.

SECTION 5.

All revenues collected under this act, less administrative expenses retained by the Department of Revenue, shall be remitted quarterly to the Henry County Trustee and shall become a part of the county road fund, to be used exclusively for the construction, maintenance, and repair of the county road system.

SECTION 6. The tax levied under this Act shall constitute a lien upon all minerals severed and any property of the operator, with priority over all other liens and encumbrances. Penalties and interest for delinquent payments shall be assessed in the same manner as taxes imposed under Tennessee Code Annotated, §§ 67-7-201 - 67-7-212.

SECTION 7. If any provision of this Act or its application to any person or circumstance is held invalid, such invalidity shall not affect other provisions or applications of the Act which can be given effect without the invalid provision or application, and to that end the provisions of this Act are declared to be severable.

SECTION 8. This act shall have no effect unless it is approved by a two-thirds (2/3) vote of the legislative body of Henry County. Its approval or nonapproval shall be proclaimed by the presiding officer of the legislative body and certified to the secretary of state.

SECTION 9. For the purpose of approving or rejecting the provisions of this act, it shall be effective upon becoming a law, the public welfare requiring it. For all other purposes, it shall become effective as provided in Section 8.